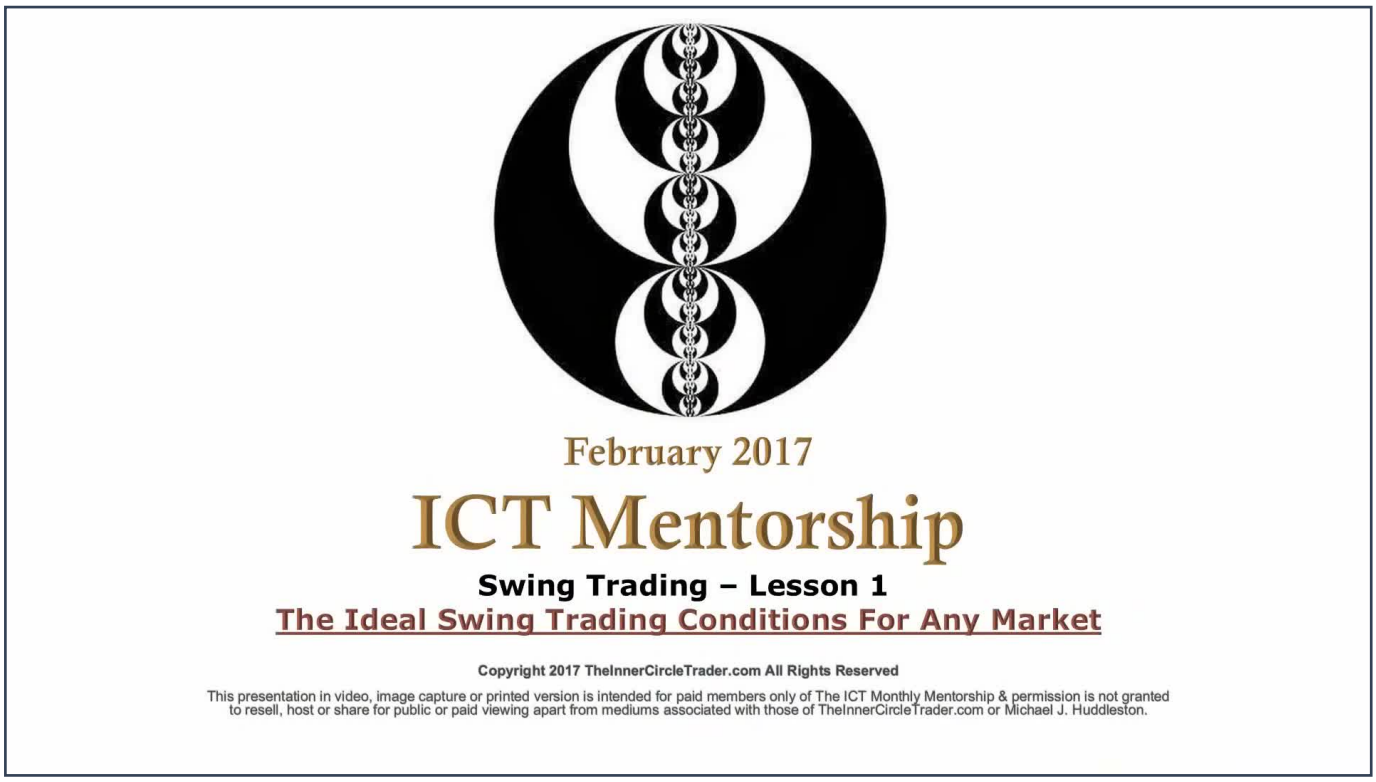
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 06 - IDEAL SWINGS CONDITIONS FOR ANY MARKET



Welcome back to the February 2017 lesson one, focusing on swing trading. This teaching specifically deals with the ideal swing trading conditions for any market.

Swing trading is the discipline of trading predictable price movements in the market with a high degree of consistency.

- Buying occurs in bullish market conditions.

- Selling short occurs in bearish market conditions.

Swing trading is a form of intermediate-term trading, with trade durations of two weeks or longer in time.

GOALS AND REWARDS OF SWING TRADING

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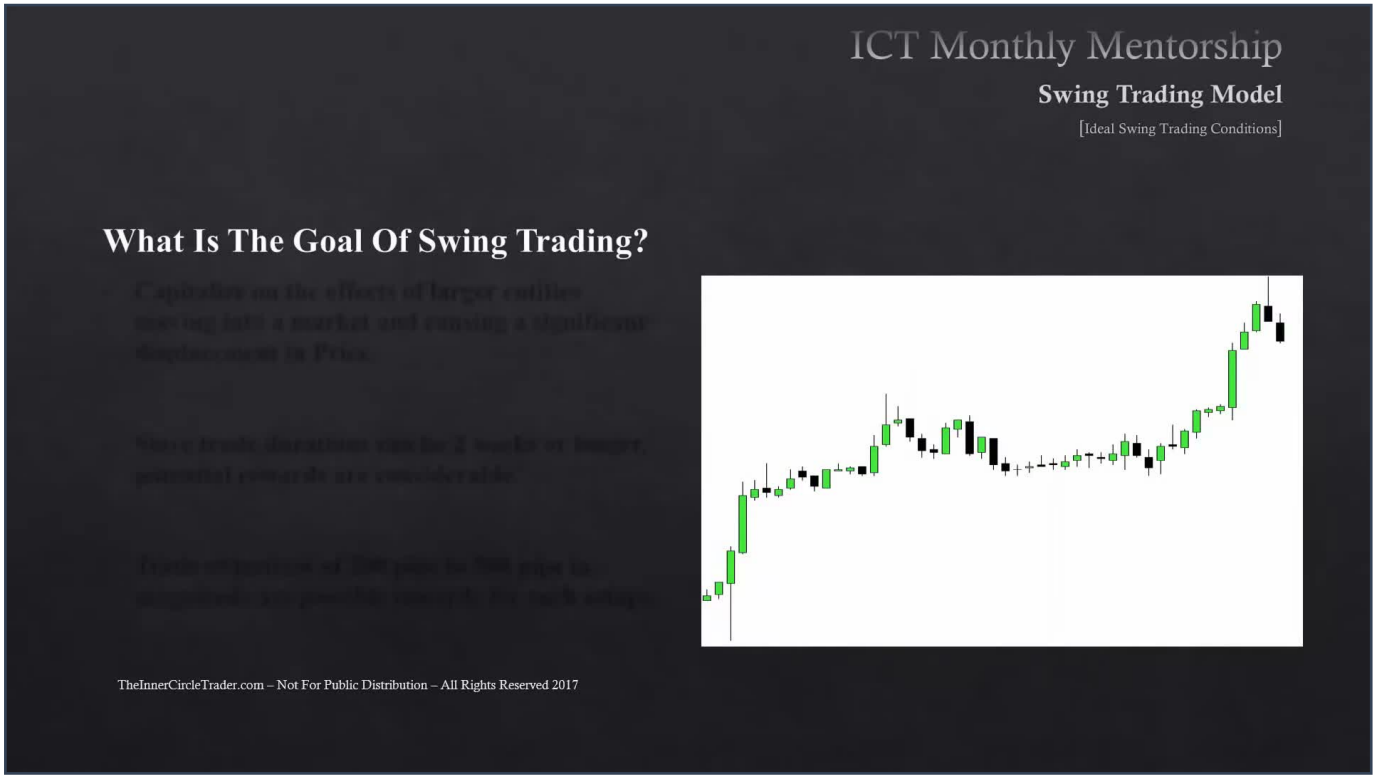

The goal of swing trading is to capitalize on the effects of larger entities moving into a market, causing a significant displacement in price. Since trade durations can be two weeks or longer, potential rewards are considerable. Trade objectives of 200 to 500 pips in magnitude are possible rewards for such setups.

Not every market is ideal for swing trading setups.

- Avoid 'favorite markets' in general for swing trading purposes.

- Larger moves rotate in and out of different marketplaces every year.

- There is no standard swing trading market or pair.

- Every three months, a new opportunity is formed for swing trading.

- What once was a big mover will not always be the next big mover. You have to investigate, look deeper behind what has most recently happened.

Market profiles matter, as markets move from one profile to the next in all timeframes.

- On monthly and weekly charts, look for the current market profile for your markets of study.

- Avoid lackluster or lethargic markets that have little to no movement over the last three months.

Market profiles are:

- Consolidations (range bound)

- Trending

- Reversal

Inside the trending market profile, we will see expansion and retracement.

Trending markets equal large flows. If the aim in swing trading is to position ourselves in moves that are likely to move a large distance, we should be looking for markets that are trending.

- If a market is confined to an obvious trading range, it does not indicate high odds for a directional setup.

- Building your watch list of markets that are trending or having market profiles that are trending on the monthly and-or weekly charts puts high probability behind your setups.

When looking at monthly and weekly charts, you are looking for price action to indicate that it is not confined in a small little range. In other words, it has moved away from a consolidation area already. Once it has left the consolidation area, chances are we are going to be in a trending environment, and it will most likely move to a larger level or PDA on the higher timeframe (monthly and-or weekly).

Having an understanding that large flows, or big participation by smart money, is what pushes these marketplaces on these higher timeframes in one direction or the other. That is equated in terms of large flows.

- Trending markets on higher timeframe charts are indicative of major players buying or selling that particular asset.

- You want to be looking at markets that are trending because that is the telltale sign that there are participants in the marketplace on an institutional basis that are pushing price in that higher timeframe chart.

Trending markets are the profile you are looking to participate in. Since the monthly and weekly charts are so long-term, and we are actually taking trades on a four-hour basis, we are going to look for the setups on monthly, weekly, and daily, but we will execute on four-hour charts.

- If we are looking for moves on a four-hour basis for entry, with a monthly and-or weekly chart in agreement, we have a great deal of probability behind us that the market is going to move in a trending fashion for our trade.

When looking at currencies, we can quickly ascertain which markets are trending higher, trending lower, or trending in a consolidation or holding pattern on a monthly and weekly basis.

- Avoid markets that are in large trading ranges because it is there for a reason.

- If the market is confined to a small consolidation or range-bound environment, it is showing an indication of a lack of institutional interest.

- If the market cannot move out of that consolidation higher, there is evidence of a lack of buying.

- If it cannot break out of the consolidation to the lower end, it is a lack of selling.

- It is going to stay in a state of neutrality. It cannot go higher, it cannot go lower, so therefore it is going to stay in a range. This is not what you are looking for for swing trades for the highest probable setups.

When you have markets that are trending higher or lower on the monthly and weekly charts, or they have already left an area of consolidation, that is indicative of big players having muscled the marketplace out of that holding pattern or that trading range or consolidation market profile.

- By having that on our monthly and-or weekly chart, when we move down to a daily and-or four-hour chart, it will help you find setups that have a great deal of energy behind them.

- So you are getting involved in a marketplace that is about to take off and move a great deal of distance on these higher time (monthly and-or weekly) charts.

Be willing to err on the direction. Avoid the temptation to pick market tops and bottoms in price action.

- It is far more likely to see the existing long-term trending market profile to influence price action over a long-term reversal.

- Focus on the long-term trend, and the market tide will carry your trade to the winner's circle more often than not.

When we look at charts on these higher time (monthly and weekly) basis, we are focusing on what is the largest, most strongest directional play there is. Because if they are seeing it clearly on a monthly chart, then it is probably going to move another month at least.

- Since we are looking for at least two weeks duration on our trade, the probabilities are in our favor that we are probably going to get another continuation of that same previous month's direction (higher or lower).

- This is on markets that have already shown a willingness to move outside of a consolidation.

- By having our focus on these long-term trends, it removes the necessity of figuring out what side of the marketplace you want to be on. If the marketplace for monthly and weekly suggests that you should be a buyer, then obviously we should be focusing on being a swing trader on the long side.

Sometimes, this approach will create internal arguments. You will see the marketplace and assume, for whatever reason, that there is some evidence that you should not be a buyer, and you are going to resist taking the buy opportunities. You want to avoid doing that.

- If you see the movement on the monthly and weekly charts indicating that it wants to go higher, and you get a buy signal on a daily and-or a four-hour chart, you want to take that signal.

- If it happens to fail, that is okay, because you have already adopted the mindset that you are willing to be wrong, but you are going to be wrong with a great deal of evidence behind you that you may still be in the right direction if you take another buy.

What happens if you take a buy signal when the monthly and weekly are suggesting it is going higher, say you take a buy signal on a daily or four-hour setup and it stops you out and it is a loss? Then you take the next signal and it is a buying opportunity and it fails.

- What it is telling us is it is probably near a longer-term or intermediate-term shift in the marketplace, and that present bullishness may be waning or that trend may be tired.

- So, it will give you insight immediately; it will give you feedback. But it also is a reminder that you should not be fearing taking losses because you are going to have them anyway.

It makes much more sense to be trading on a higher timeframe (monthly and weekly basis) in that directional bias. If we have our trades focused there, many times you are going to see, if you study, the moves that take place with a great deal of magnitude are going to be in the same direction that monthly and weekly charts are indicating anyway.

- So it makes better sense for us as traders to be willing to be wrong buying in long-term trends that are higher, or being short in long-term bearish moves on monthly and weekly, and being stopped out on our short positions.

- It is far more likely that you are going to be profitable and have the move work out in your favor than it is against you.

- You have to stick to a mindset, and it starts with a higher timeframe monthly and weekly chart, because if we can do this, we will remove all the ambiguity about what it is that you should be looking for. This is how it starts: you start with a monthly and weekly basis and you work down (top-down).

Just simply because the market is most likely to move higher or lower in the chart does not indicate that there is a setup; there are other things we have to look for. Let's look at the Euro Dollar monthly chart.

- Focus on the last section of price action from around the end of February 2015 (March 1st, 2015) until the present time.

- This section clearly shows a consolidation market profile. The market is showing an unwillingness to go higher and an unwillingness to go lower; it is stuck in a range.

- If it is indicating this on the monthly chart, is this a high probability market to trade for buys and sells? No.

EURO DOLLAR WEEKLY CHART: CONFIRMING CONSOLIDATION

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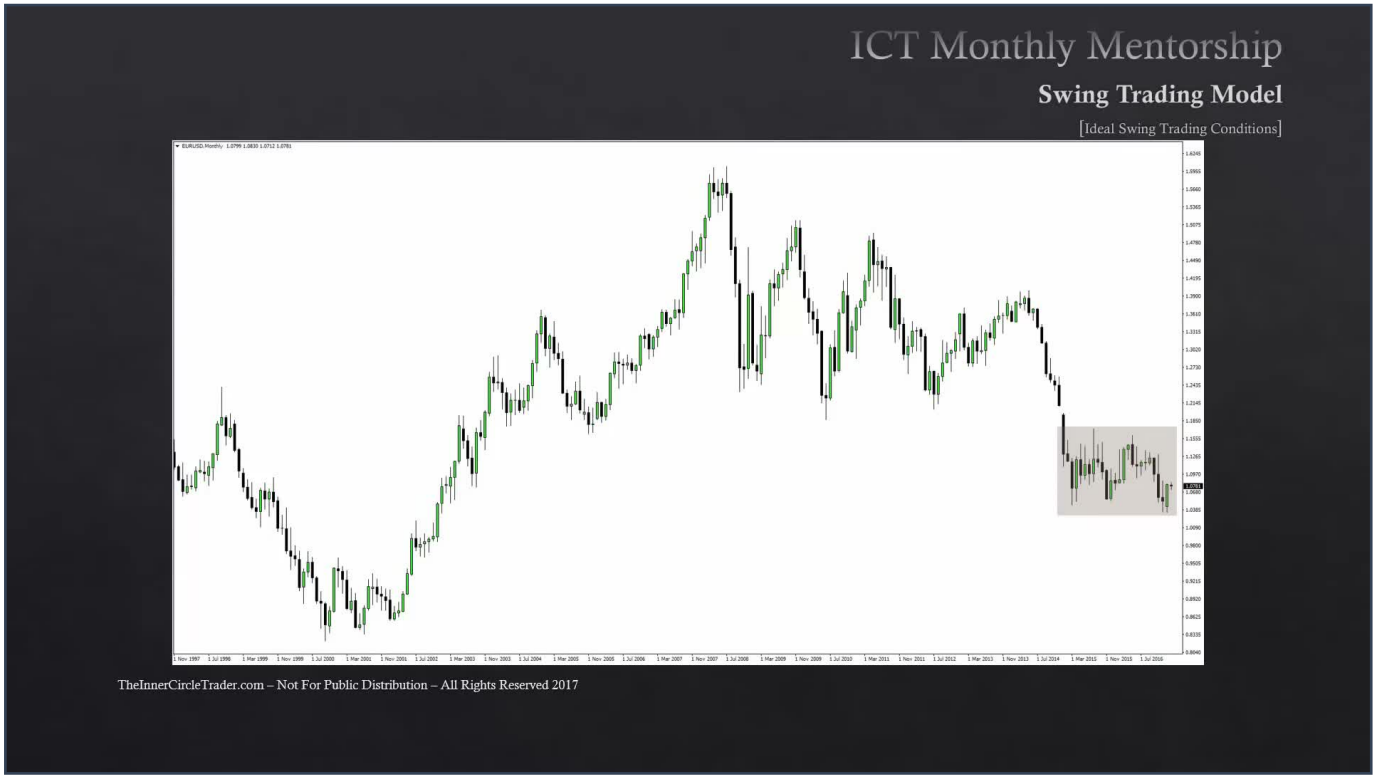
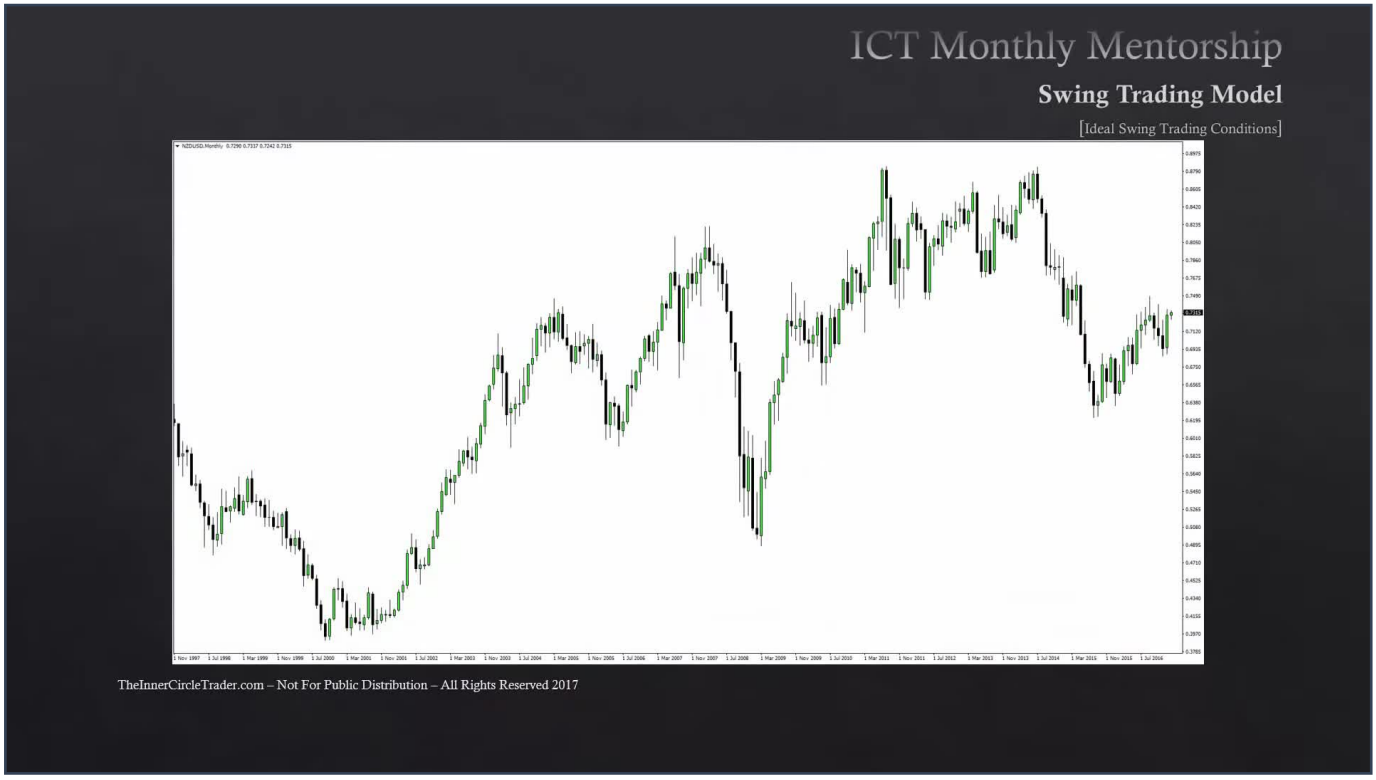


Here is the weekly chart, showing the same consolidation. While one might identify several hundred pips of probable market direction within the range, the problem is it does not have great ease of moving outside of that range; it is staying in a tight consolidated range.

- You can trade this type of pattern back and forth inside the range, but when we are swing trading, the best scenarios focus on markets that do not have this telltale hallmark.

- You want to be looking for a trending environment, a market that is able to move on a monthly and weekly basis, because that is indicative of huge large flows moving into that particular asset.



Let's take a look at the Kiwi versus the Dollar. On the monthly chart, we see a market that is trying to go higher. It has higher lows, it has higher highs, it is moving back up. It has closed in a liquidity void up to the 7490 level.

- So, it is showing a willingness to go higher on a monthly basis. Is this a consolidation, or is this a trending or a reversal? It is a trending environment for the monthly chart; it keeps making higher highs and higher lows.

Here is that same section of price action on a weekly basis. You can see it is successive higher highs and higher lows.

- In this environment, the market is indicating on a higher timeframe (monthly-weekly basis) that there are buyers willing to buy this particular pair.

CASE STUDY: DOLLAR YEN MONTHLY/WEEKLY (BREAKOUT)

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Let's take a look at another pair: the Dollar versus the Japanese Yen (monthly chart). You can see here is a small little section of price action where price was staying inside of a consolidation, and then it left the consolidation abruptly.

- Here is that same consolidation on a weekly timeframe, and you can see it moves several hundred pips higher.

- Again, it is showing the willingness to leave the consolidation, which is very strong for looking for swing trades. In this case, you would be looking for swing trades on the long side.

DETAILED ANALYSIS: KIWI DOLLAR WEEKLY CHART - BULLISH TREND

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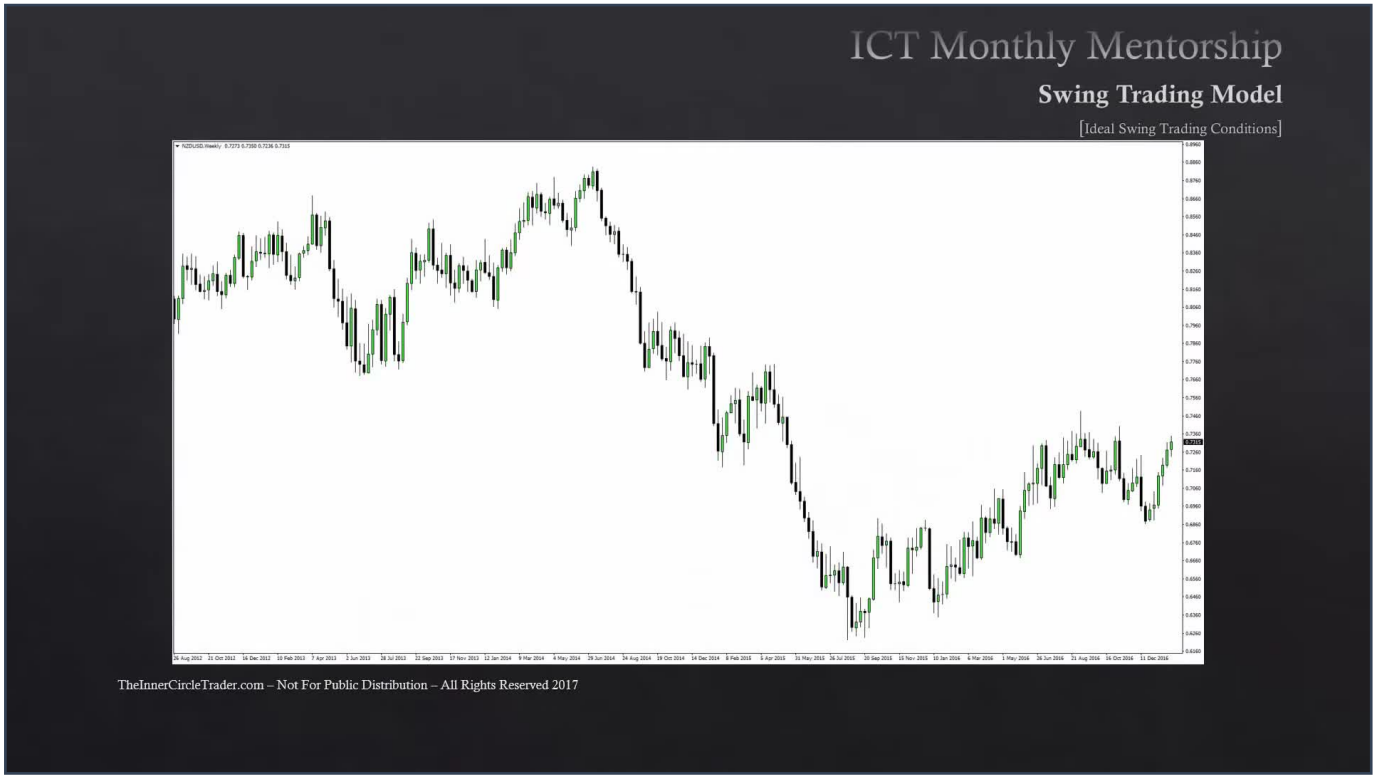
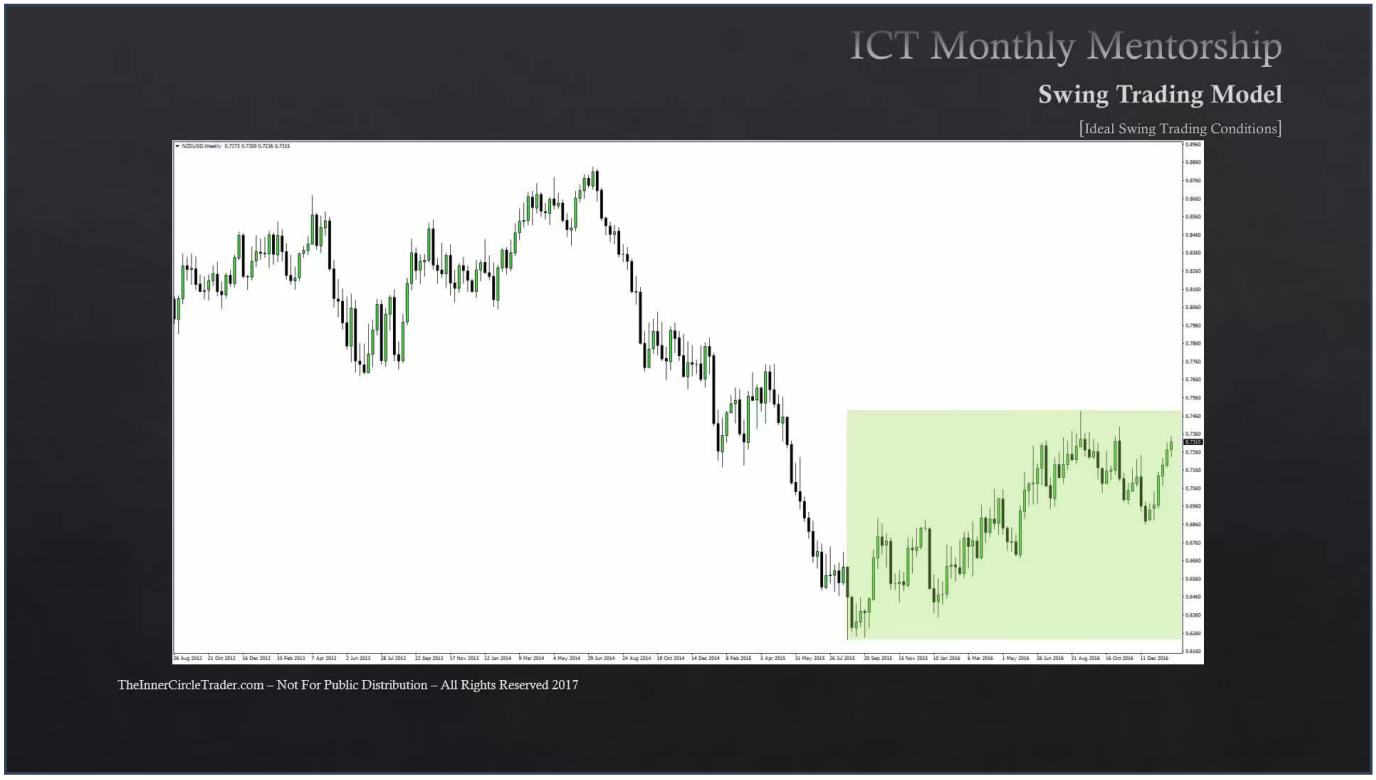


Let's go back to the Kiwi Dollar weekly chart and focus on a specific area.

- We have already outlined that the Euro Dollar was in a long-term consolidation, not indicative of a swing trading market.

- But we do have one here with the New Zealand versus the Dollar Index. The weekly was indicating that the price for New Zealand versus Dollar was bullish; it kept making higher highs, making higher lows.

- So, it is having a willingness to go higher on a monthly chart; it just kept pressing higher and higher. This is a good pair that we can go into for further study.

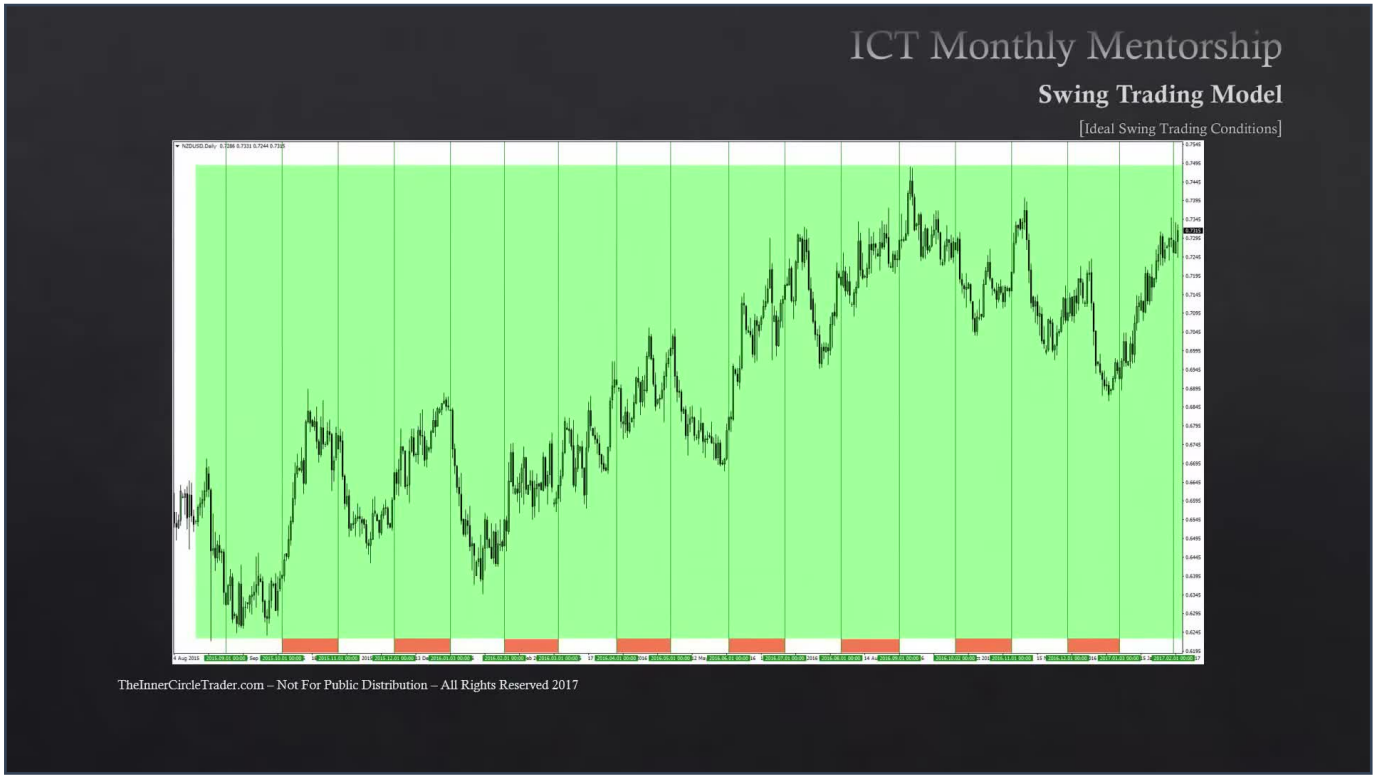


We are going to go into this chart and break it down in the form of vertical lines, delineating each line to represent a new month.

- Looking at the bottom of the chart, you will see little orange segments, then white, then orange, etc. This shows a pattern of what price has done over the course of three-month intervals.

- What we are looking for is a buying opportunity, and you can see how price offered that just about every three to four months.

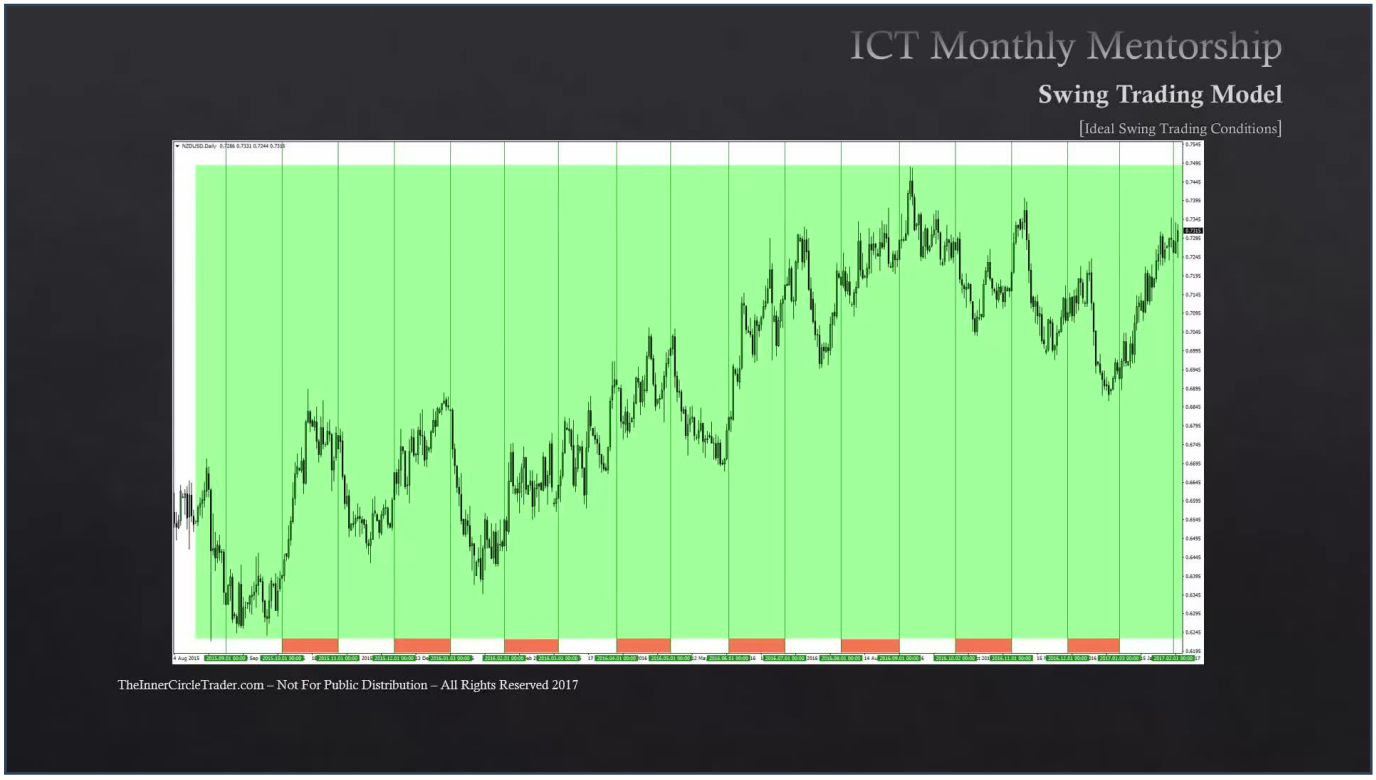
- So every orange area we saw some measure of retracement, and then there was a buying opportunity the very next month or inside of the next month. Every alternating three months or so, there was a new buying opportunity, and price kept pressing higher and higher.



Here is a daily chart; we are going to zoom in a little bit here and take a closer look. We are also going to give a little bit of a homework assignment. We are actually going to go into this teaching on Tuesday's live session of the coming week for the mentorship, so I am actually going to give you this homework and we are going to review it as a live session on Tuesday morning.

- We have that same area of price segmented in monthly intervals, so every vertical line delineates a new month.

- You see a rally up, then there is a consolidation or retracement, and it comes back and gives you another buying opportunity.



I am just going to pull up the first one that is obvious: you can see here price comes back, retraces, gives a buying opportunity. I want you to study each one of these, and we are going to review this in Tuesday's live session coming up this coming week.

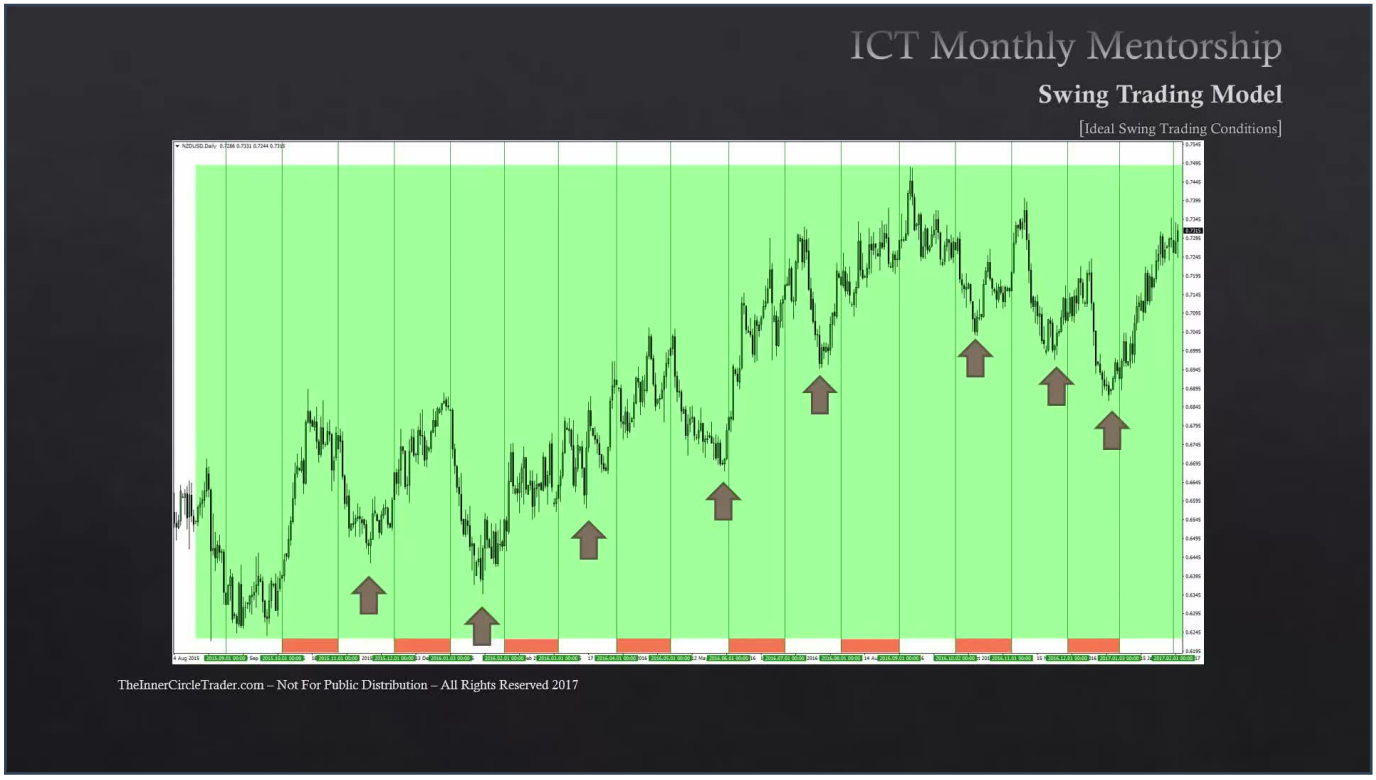
- There is a buying opportunity here where price rallied away.

- Price rallied here.

- It rallied here.

- And rallied at this point and gave a buying opportunity there.

- And gave a buying opportunity at that low and at that low as well.

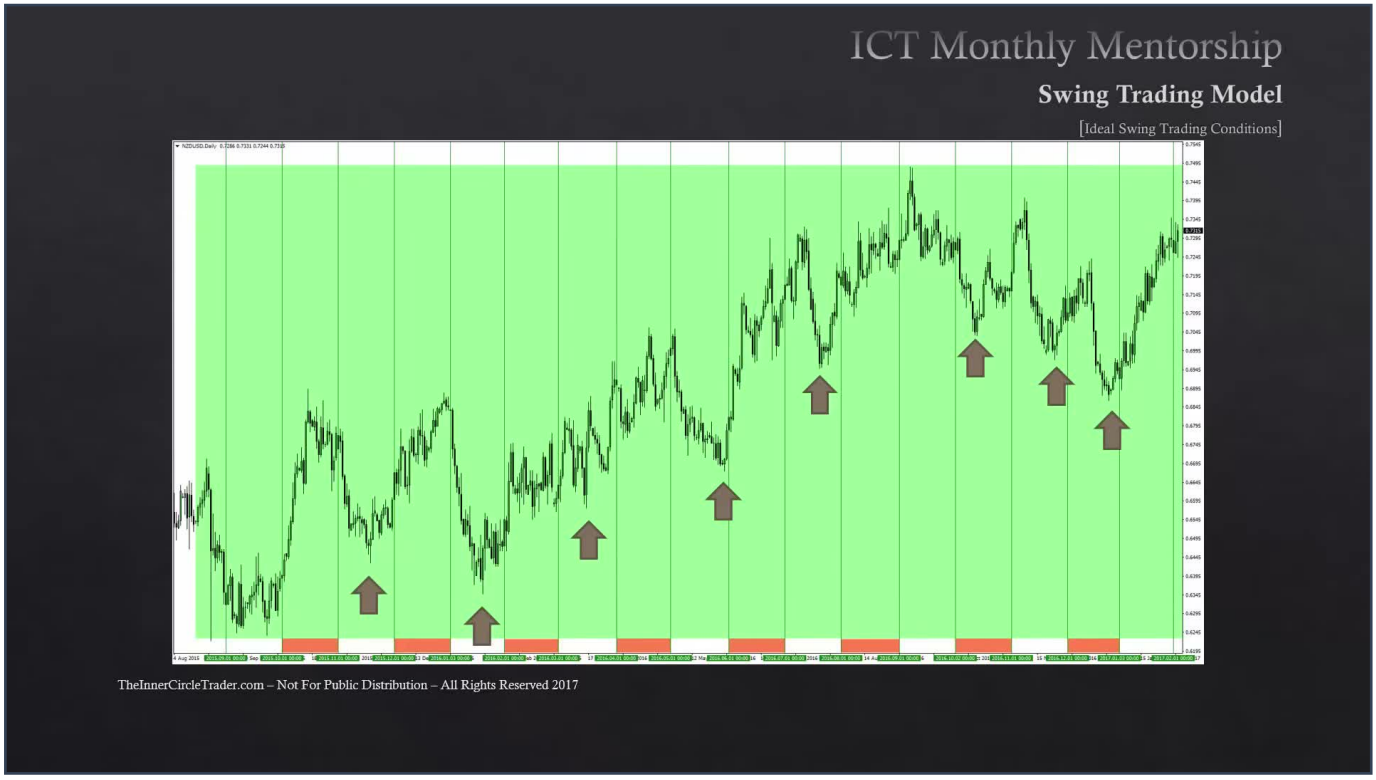


What I want to ask you is, looking at this in terms of how much price has moved, these are swing trades, meaning the duration you are holding is for about two weeks or longer.

- By having this viewpoint on price, how long you are holding the trade and the direction you are focusing on, it gives you an idea where you are looking for the trades and what you are looking for.

- For a buying opportunity, the price has to come back to a level of what? Discount. So, if we get a level of discount, and price goes back to a PDA.

- If we look at price in terms of the range, if we look at where sell stops are, all those things, I want you to use those ideas and his PD arrays at each one of these reference points. We are actually going to go through every single one of these on Tuesday's live session coming up for this week.

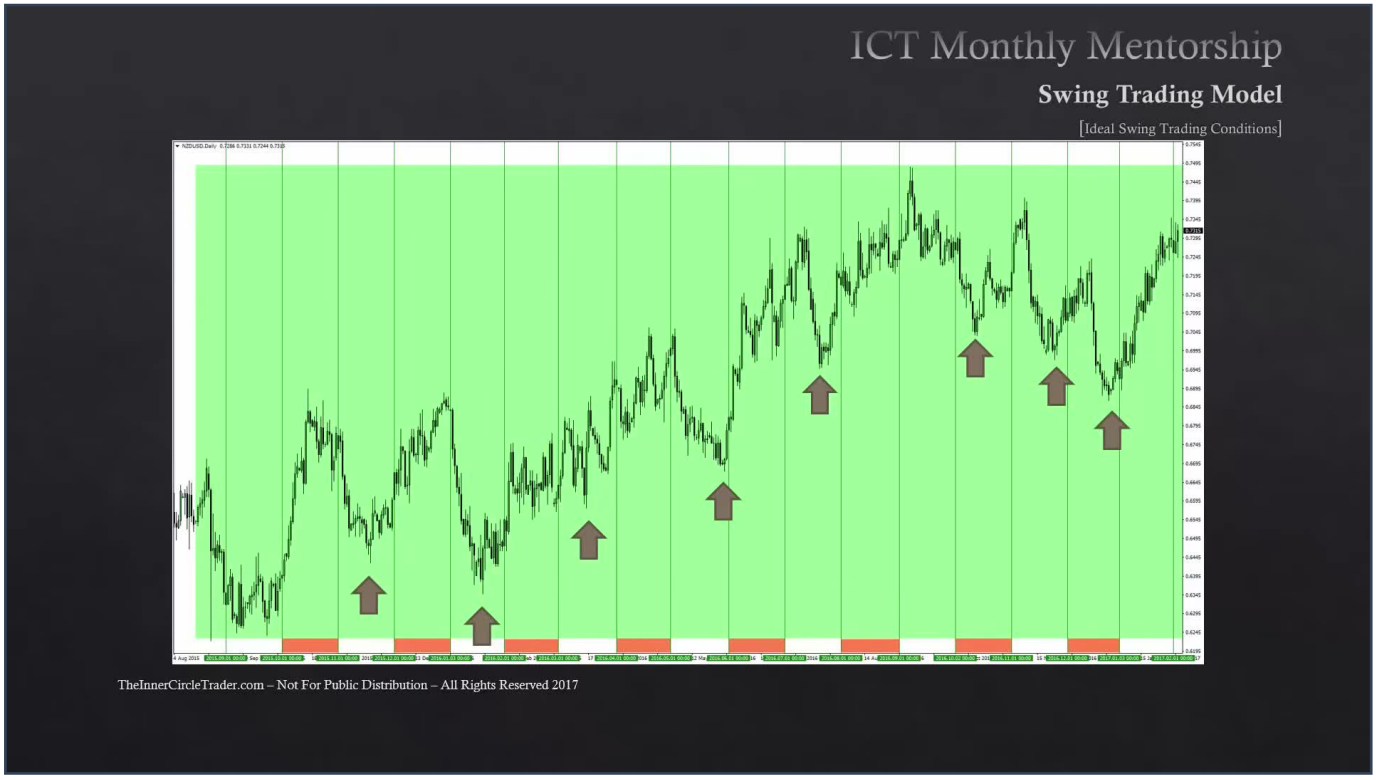


For now, I want you to think in terms of how many opportunities were presented in this pair on a swing trader's perspective, and how many opportunities that were made available in terms of several hundred pip moves.

- So we did not see little tiny little moves; we saw several hundred pips of movement from these lows.

- Some of them actually are a little bit longer term in the formation, so they would have been wonderful ideal scenarios to get in sync with a long-term or positioned trader's mindset.

- We just closed January's content for long-term position trading. There are opportunities in here where long-term position trading can be employed. I want you to think about that as well; try to classify why certain lows would have been good for those ideas as well.



When we look at swing trading, we are looking at high probability directional trades. That is what we are looking for.

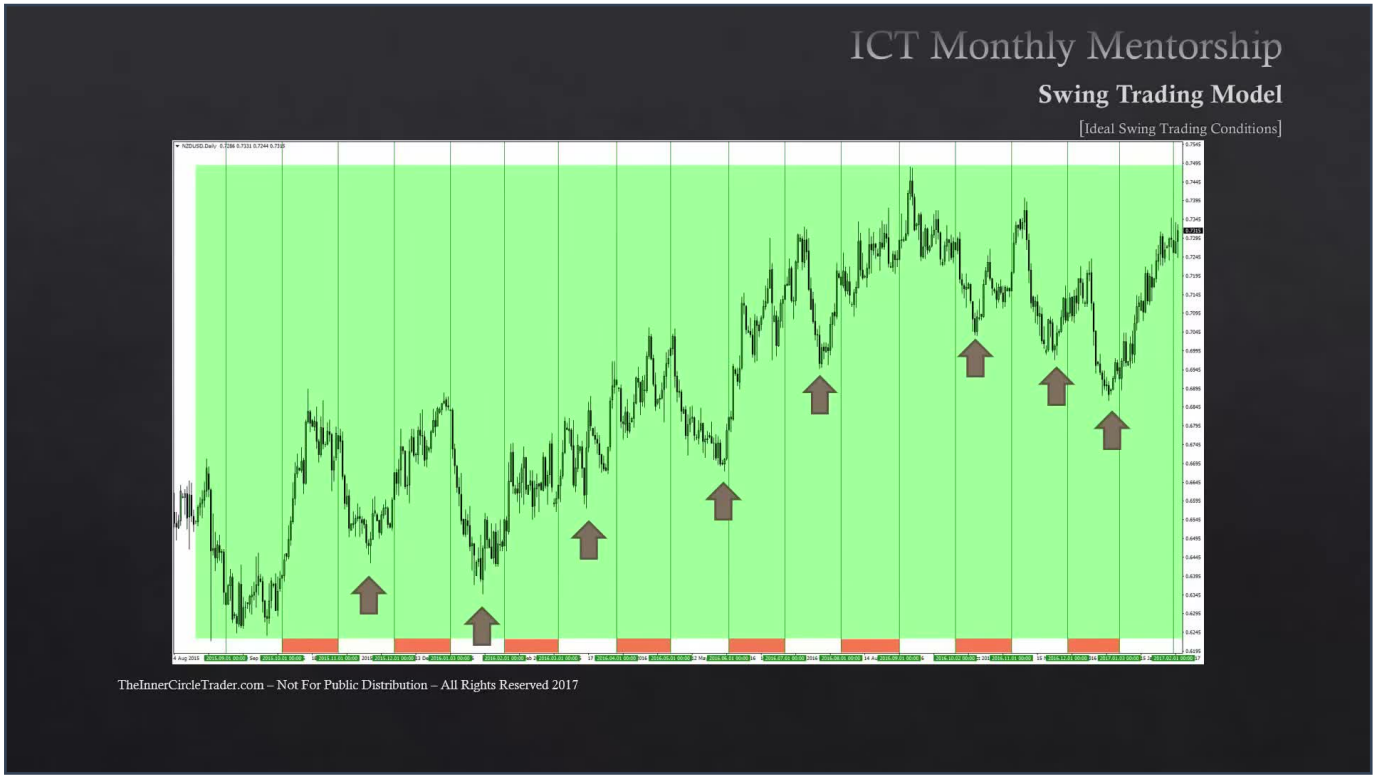
- We are not looking for range-bound trading.

- We are not looking for turtle soups to stay inside of a consolidation.

- We are looking for strong directional plays.

- The swing trading model that I employ is highly linked to a directional mindset.

- So, if I am looking at a monthly and weekly chart and it is indicating that it wants to go higher on those two timeframes, I am going to be looking to be a buyer, and I am going to be using all my tools to get in sync with that buyer's mentality.



If I am bearish on monthly and weekly charts, I am going to be looking for all my tools to line up and give me some sell scenario.

- In the next lesson, we will go into a little more framework about what it is that we look for to build these ideas, not just look at monthly and weekly charts, but bring a little bit more definition to what it is that we do for swing trading.